

February 24, 2026 09:00 PM GMT

Semiconductor Capital Equipment | North America

1Q'26 WFE update, higher & higher (again)

We revise up our 2026/27 WFE market forecast from +13%/+19% to +23%/+27% driven by DRAM. Formally instate AMAT as Top Pick in US SPE.

alphawise α

What's Changed? We revise up our 2026 forecast from \$136bn (up 13% y/y) to \$143bn (up 23%) and our 2027 forecast comes up from \$161bn (up 19%) to \$182bn (up 27%). For 2026, we revise up DRAM by \$5bn, NAND by \$2bn and leave foundry logic unchanged, while for 2027 we revise up DRAM by \$9bn, foundry logic by \$9bn, and NAND by \$2bn.

Numbers go higher & high (again). It's only been 1 month since we last raised numbers ([Semiconductor Capital Equipment: Mid 4Q'25 WFE update, higher & higher \(20 Jan 2026\)](#)) and our 2026/2027 numbers have come up 12%/33% since [mid-Sep](#). Our revisions are as follows: **1) DRAM:** DRAM WFE is being pulled forward at an unprecedented pace, and we are increasing our 2026/2027 greenfield wafer capacity additions from 225/320kwpm to 278/355kwpm. Where there is a will, there is a way – and a substantial number of wafers are now on the way. **2) NAND:** Capacity expansion plans at Kioxia/SanDisk and YMTC are set to accelerate meaningfully over the next four quarters. We believe the three companies combined could reach a WFE run rate of \$10bn+. **3) Foundry/Logic:** Our 2026 revisions are more modest; however, we see significant upside risk to our 2027 TSMC capex forecast of \$59bn and are revising our WFE forecast higher accordingly.

How do we play SPE from here? Our quant analysis of memory and SPE share price correlations across memory ASP cycles suggests we are entering the phase of the cycle where SPE returns begin to rival those of memory stocks. Early in a memory ASP cycle (pre-equilibrium), monthly memory stock returns outperform SPE by approximately 170bps. As the cycle moves into the mid-upturn, this gap narrows to around 110bps. Following the second-derivative inflection, however, SPE begins to outperform memory by roughly 30bps.

Instate AMAT as "Top Pick" within US SPE. We revise up estimates for AMAT, LAM, and KLA to reflect our WFE update, which brings our FY27 EPS up by 3-4%, and as we leave our target multiples unchanged our PTs come up by the same magnitude. *We also introduce AMAT as our "Top Pick" within our US SPE coverage.* The stock continues to trade at a discount to peers (target multiple ~3x below LAM and ~5x below KLA), despite our expectation that the company will outperform WFE growth. While we believe foundry/logic revisions will outpace DRAM in 2027, DRAM estimate revisions have continued to accelerate, and we view AMAT as best positioned to benefit from this trend.

MORGAN STANLEY & CO. LLC

Shane Brett		
Equity Analyst		
Shane.Brett@morganstanley.com		+1 212 761-1022
Wen Zhang, CFA		
Equity Strategist		
Wen.Zhang@morganstanley.com		+1 212 761-1732
Joseph Moore		
Equity Analyst		
Joseph.Moore@morganstanley.com		+1 212 761-7516
Mason Wayne		
Research Associate		
Mason.Wayne@morganstanley.com		+1 212 761-6012
Ella Tulchinsky		
Research Associate		
Ella.Tulchinsky@morganstanley.com		+1 212 761-2222
Nicole Kozhukhov		
Research Associate		
Nicole.Kozhukhov@morganstanley.com		+1 212 761-1636

SEMICONDUCTOR CAPITAL EQUIPMENT

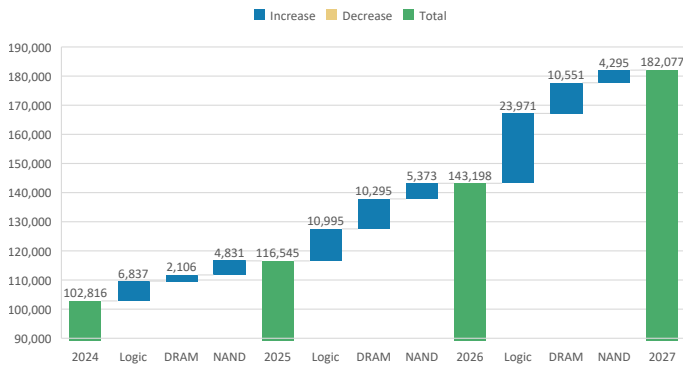
North America		
Industry View		In-Line
WHAT'S CHANGED		
Applied Materials Inc. (AMAT.O)		
Price Target	From \$420.00	To \$432.00
Top Pick	-	AMAT.O
KLA Corp (KLAC.O)		
Price Target	From \$1,751.00	To \$1,809.00
Lam Research Corp (LRCX.O)		
Price Target	From \$244.00	To \$254.00

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

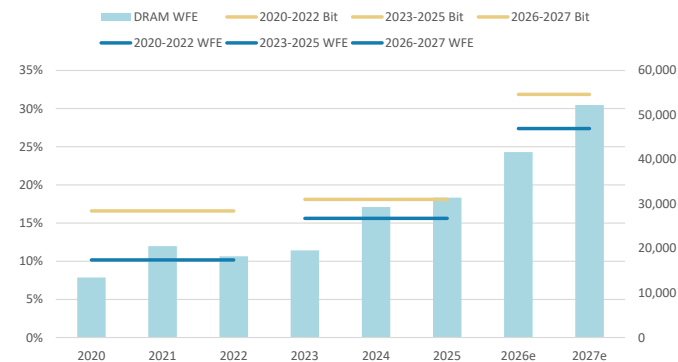
Our story in 6 charts

Exhibit 1: We revise up our 2027 WFE forecast to \$182bn (+27% y/y), largely led by DRAM and foundry logic



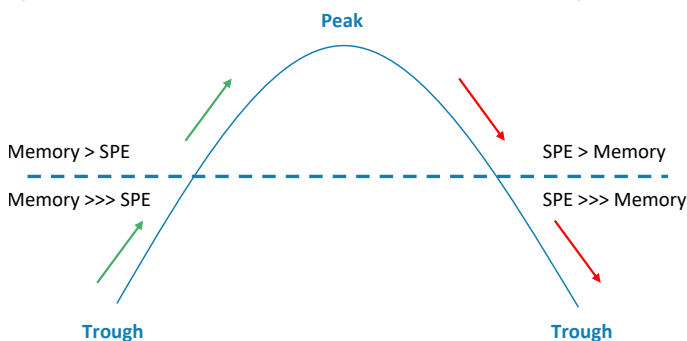
Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates

Exhibit 3: ... but suppliers have to prepare to meet 32% unadjusted bit growth in 2026-2027 (vs 18% during 2023-2025), justifying the spend



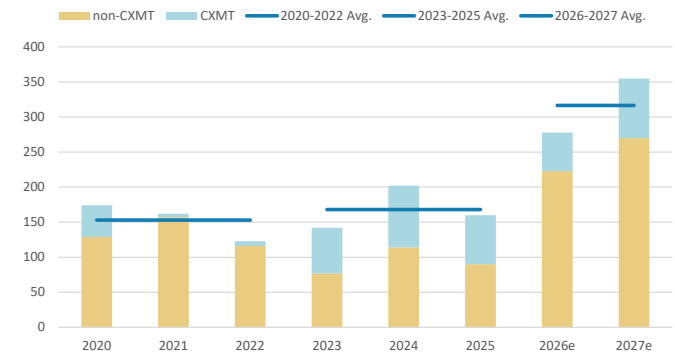
Source: TrendForce, Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates

Exhibit 5: We believe we're mid-upcycle in the memory ASP cycle, which is where SPE returns start rivaling memory...



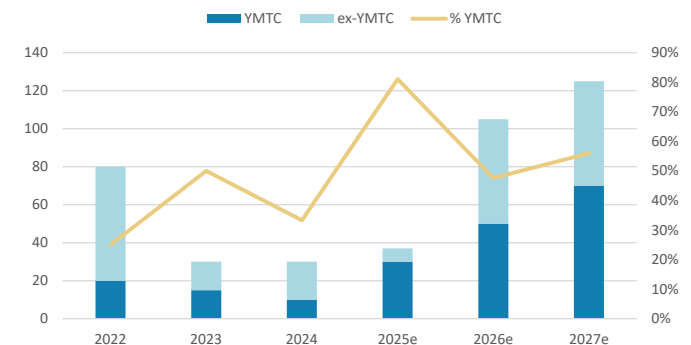
Source: Morgan Stanley Research

Exhibit 2: We model avg. DRAM greenfield adds to increase 88% from 2023-25 to 2026-27...



Source: TrendForce, Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates

Exhibit 4: We model YMTC to make up 56% of NAND greenfield during 2025-27



Source: TrendForce, Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates

Exhibit 6: ... and once we're late upcycle/early downcycle, preference would be for SPE over memory

Monthly Avg. Return in different stages of the Memory ASP Cycle			
Phase	Meaning	SPE	Memory
Downturn	Cycle < 0, and trending downwards	-0.6%	-3.0%
Early Recovery	Cycle < 0, but trending upwards	3.7%	5.4%
Expansion	Cycle > 0, and trending upwards	2.4%	3.5%
Peak Rollover	Cycle > 0, but trending downwards	1.0%	0.7%

Source: AlphaWise, Company data, Morgan Stanley Research

WFE Forecast Table

Exhibit 7:

(\$mn)	2020	2021	2022	2023	2024	2025	2026e	2027e
WFE Revenue	63,539	91,092	96,222	96,008	102,816	116,545	143,198	182,077
Semi Revenue	440,389	553,540	573,978	526,820	630,549	791,061	1,157,326	1,360,798
Semi Capex	118,477	157,788	187,982	176,924	195,336	213,559	279,789	289,578
Y/Y Change %								
WFE Revenue	12%	43%	6%	0%	7%	13%	23%	27%
Semi Revenue	7%	26%	4%	-8%	20%	25%	46%	18%
Semi Capex	9%	33%	19%	-6%	10%	9%	31%	3%
Metrics								
WFE Intensity	14%	16%	17%	18%	16%	15%	12%	13%
WFE% of Total Capex	54%	58%	51%	54%	53%	55%	51%	63%
Semi Capital Intensity	27%	29%	33%	34%	31%	27%	24%	21%
3rd Party Sources								
Semi	61,171	87,499	94,100	95,610	104,270	115,700	126,100	135,200
Gartner	64,905	92,843	101,101	102,820	111,636	123,930	138,544	151,343
WFE by segment								
Foundry/Logic	34,591	50,265	59,180	70,023	67,615	74,452	85,448	109,418
Memory	28,109	39,828	35,854	24,794	34,523	41,460	57,128	71,974
DRAM	13,526	20,664	18,256	19,579	29,315	31,422	41,716	52,268
NAND	14,583	19,164	17,598	5,215	5,207	10,038	15,411	19,706
Other	839	999	1,188	1,192	677	633	622	684
Y/Y Change %								
Foundry/Logic	21%	45%	18%	18%	-3%	10%	15%	28%
Memory	5%	42%	-10%	-31%	39%	20%	38%	26%
DRAM	-2%	53%	-12%	7%	50%	7%	33%	25%
NAND	12%	31%	-8%	-70%	0%	93%	54%	28%
Other	-30%	19%	19%	0%	-43%	-7%	-2%	10%
% of Total								
Foundry/Logic	54%	55%	62%	73%	66%	64%	60%	60%
Memory	44%	44%	37%	26%	34%	36%	40%	40%
DRAM	21%	23%	19%	20%	29%	27%	29%	29%
NAND	23%	21%	18%	5%	5%	9%	11%	11%
Other	1%	1%	1%	1%	1%	1%	0%	0%
WFE Intensity								
Semi ex-Memory revenue	322,907	399,706	444,153	434,511	465,032	573,792	678,047	761,360
Memory revenue	117,482	153,834	129,825	92,309	165,516	217,269	479,279	599,438
DRAM	64,324	92,960	77,769	51,945	94,860	150,598	329,820	376,713
NAND	49,390	55,953	47,109	36,104	66,427	67,685	161,310	239,030
WFE Intensity								
Foundry Logic	11%	13%	13%	16%	15%	13%	13%	14%
Memory	24%	26%	28%	27%	21%	19%	12%	12%
DRAM	21%	22%	23%	38%	31%	21%	13%	14%
NAND	30%	34%	37%	14%	8%	15%	10%	8%
% of Memory WFE								
DRAM	48%	52%	51%	79%	85%	76%	73%	73%
NAND	52%	48%	49%	21%	15%	24%	27%	27%

Source: Gartner, SEMI, Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates

Exhibit 8:

(\$mn)	2020	2021	2022	2023	2024	2025	2026e	2027e
WFE by Region								
Total	63,539	91,092	96,222	96,008	102,816	116,545	143,198	182,077
North America	6,053	7,755	10,239	11,346	13,366	10,489	11,742	14,930
Europe	2,664	2,879	5,982	5,741	4,113	2,331	2,363	2,731
Japan	6,049	6,879	7,244	6,438	7,197	8,741	10,740	13,292
Korea	15,038	22,757	19,655	18,965	18,507	23,309	31,503	42,424
Taiwan	15,276	23,566	26,566	19,501	14,908	27,388	37,231	50,982
China	16,634	24,695	22,105	31,682	41,640	41,374	46,539	54,623
Other	1,826	2,561	4,431	2,334	3,084	2,914	3,079	3,095
WFE by Region (Y/Y)								
North America	-22%	28%	32%	11%	18%	-22%	12%	27%
Europe	15%	8%	108%	-4%	-28%	-43%	1%	16%
Japan	5%	14%	5%	-11%	12%	21%	23%	24%
Korea	65%	51%	-14%	-4%	-2%	26%	35%	35%
Taiwan	-13%	54%	13%	-27%	-24%	84%	36%	37%
China	35%	48%	-10%	43%	31%	-1%	12%	17%
Other	4%	40%	73%	-47%	32%	-6%	6%	1%
WFE by Region (% of Total)								
North America	10%	9%	11%	12%	13%	9%	8%	8%
Europe	4%	3%	6%	6%	4%	2%	2%	2%
Japan	10%	8%	8%	7%	7%	8%	8%	7%
Korea	24%	25%	20%	20%	18%	20%	22%	23%
Taiwan	24%	26%	28%	20%	15%	24%	26%	28%
China	26%	27%	23%	33%	41%	36%	33%	30%
Other	3%	3%	5%	2%	3%	3%	2%	2%

Source: Gartner, SEMI, Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates

How do our views change?

What's Changed? We revise up our 2026 forecast from \$136bn (up 13% y/y) to \$143bn (up 23%) and our 2027 forecast comes up from \$161bn (up 19%) to \$182bn (up 27%).

Our View: Our largest revision is in memory, where we are materially increasing our 2026/27 DRAM greenfield wafer assumptions across all players, with the most significant changes in NAND at YMTC and Kioxia/SanDisk.

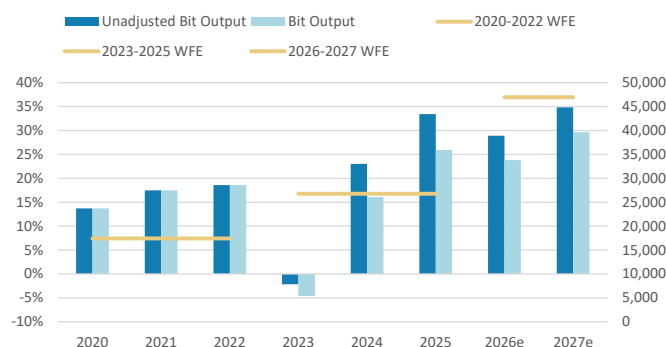
DRAM: More Greenfield (again)

Greenfield forecasts come up again. We make 3 changes to our wafer forecast, which brings up our 2026/2027 greenfield wafer additions from 225/305kwpm to 278kwpm/355kwpm.

- Samsung: We revise up our P4L forecasts considerably to reflect cleanroom allocations being shifted from DRAM to NAND.
- CXMT: We tweak up our forecasts to reflect a more aggressive ramp at Shanghai and Beijing, albeit more skewed towards 2027.
- Hynix: We tweak up our forecasts to reflect a more aggressive ramp at M15X and Yongin.

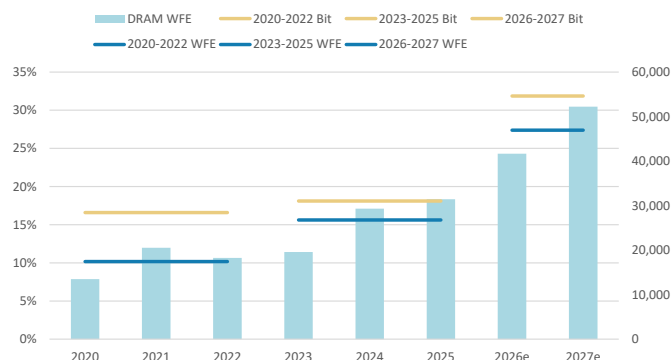
New Paradigm for DRAM WFE. While our supply assumptions keep going up, our demand assumptions keep going up as well and we come back to our “[New Paradigm for DRAM WFE](#)” thesis. Following our estimate revisions, we now assume DRAM makers will need to build for 32% unadjusted bit output growth in 2026–2027, versus 18% in 2023–2025 and 17% in 2020–2022. In our view, this supports a 75% increase (on an annual average basis) in DRAM WFE from 2023-2025 to 2026-2027.

Exhibit 9: Suppliers have to prepare to meet 32% unadjusted bit growth in 2026-2027 (vs 18% during 2023-2025)



Source: TrendForce, Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates

Exhibit 10: DRAM WFE increased 50% from 2020-2022 to 2023-2025, and we model a 75% annual increase into 2026-2027



Source: TrendForce, Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates

NAND: The "when" is now

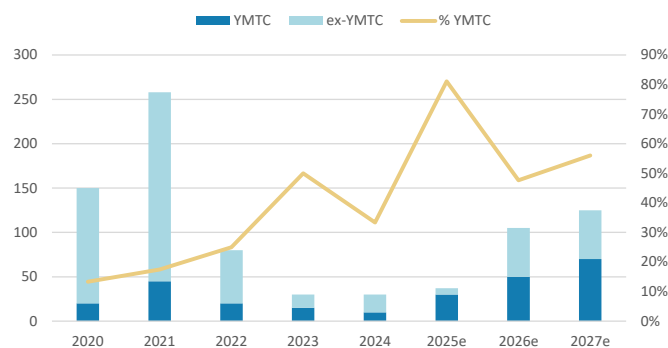
Greenfield assumption comes up. We make 2 changes to our wafer forecast, which brings

up our 2026/2027 greenfield wafer additions from 78/87kwpm to 105kwpm/125kwpm.

- **YMTC:** We are raising our 2026–2027 greenfield forecasts meaningfully from 40/40kwpm to 50/70kwpm, reflecting a reacceleration in capacity additions following the slower 2023–2024 period. Given that YMTC’s most advanced lines are now 50%+ localized, we do not expect meaningful bottlenecks to constrain this expansion.
- **Kioxia/Sandisk:** We believe customer prepayments make incremental spending effectively unavoidable. As a result, we are raising our K2 and Fab7 wafer start assumptions and now expect Kioxia to increase F3/27 capex by ~50% y/y to ¥400–450bn, with a significant skew toward equipment (~90%).

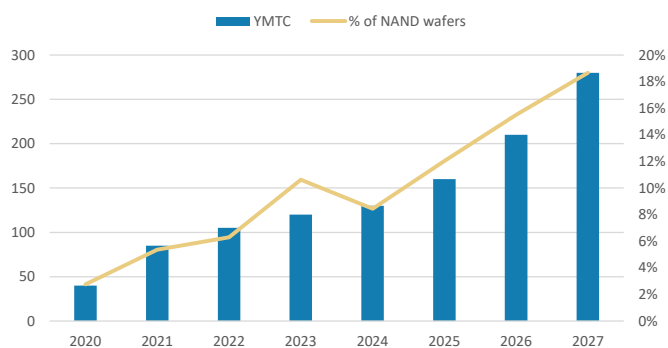
\$17bn NAND WFE driving 26% bit growth. Our prior assumption was that 25% average bit demand growth in 2026–2027, led by eSSDs, would require NAND WFE of approximately \$13–16bn. However, following revisions to our yield and spending assumptions, we now forecast a two-year average spend of \$17bn, driving 26% average bit growth (skewed toward 2027). Our overall bit demand assumptions are largely unchanged. We are lowering our smartphone and PC bit growth forecasts but offsetting this with higher eSSD assumptions, as our eSSD mix forecast increases from 29% in 2025 to 52% in 2027.

Exhibit 11: We assume YMTC will make up 56% of industry greenfield during 2025–27...



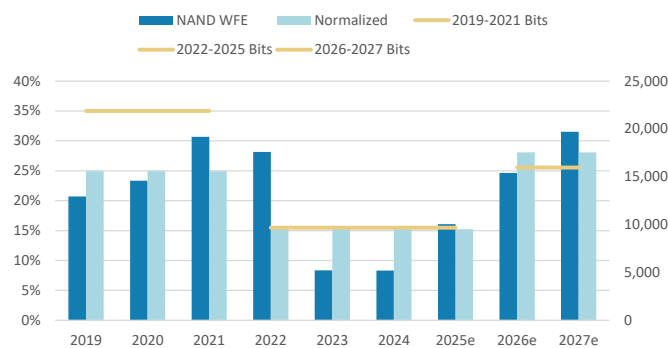
Source: TrendForce, Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates

Exhibit 12: ... as the company increases its share (wafer starts) from 12% to 19%



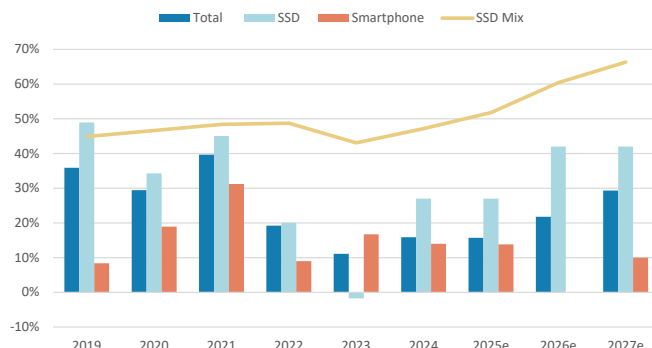
Source: TrendForce, Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates

Exhibit 13: We now forecast \$17bn of NAND WFE driving 26% bit growth...



Source: TrendForce, Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates

Exhibit 14: ... as bits are driven by eSSDs where we forecast 80%/55% growth in 2026/27



Source: TrendForce, Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates

How do we play SPE from here? The Quant View

Analyzed by Wen Zhang

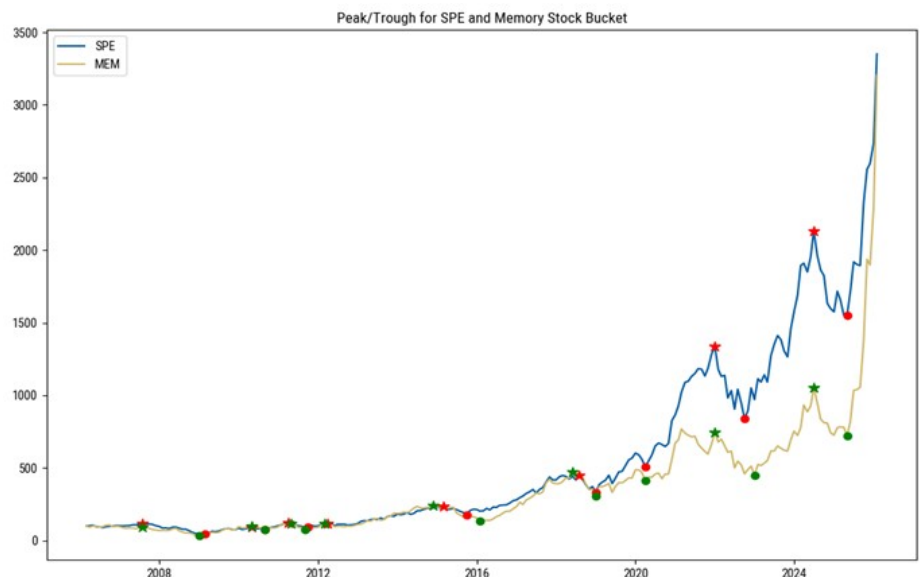
SPE Stocks vs Memory Stocks. We analyze monthly returns based on the equal weight portfolio return of the corresponding stocks in the group (SPE: AMAT, LAM, KLA, ASML, TEL. Memory: Hynix, Samsung, Micron), we come to the following findings:

We do not observe a consistent structural lead/lag relationship between SPE and memory peaks, particularly in the more recent cycles.

- In 2012–2018, Memory peaks (green star) preceded SPE peaks (red star) by ~1–3 months ([Exhibit 15](#)).
- In more recent cycles, peaks are largely concurrent.
- Monthly return correlations are highest concurrently, with no statistically meaningful lead from either side.

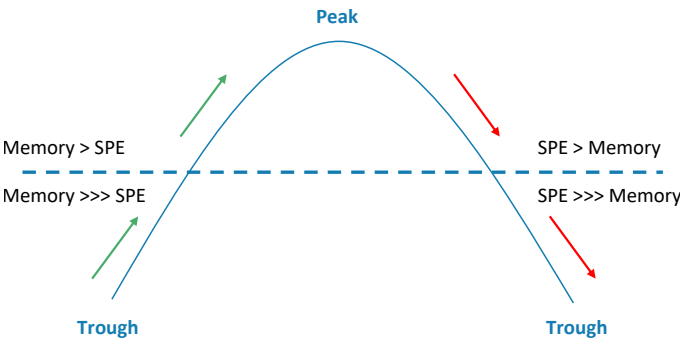
SPE Outperformance vs Memory ASP Cycle. When plotting cumulative SPE relative performance (red line) against the ASP cycle (blue line, [Exhibit 18](#)), we observe that SPE's relative performance versus memory typically improves during periods of ASP decline (red zone). Conversely, relative performance tends to be weaker during strong ASP expansions. Dividing the cycle into four distinct phases, SPE stocks appear more resilient during downturns but participate less fully during upturns ([Exhibit 17](#)). In conclusion, given our view that the memory ASP cycle is currently in the mid-upcycle phase, we believe SPE returns should begin to rival those of memory stocks.

Exhibit 15: In 2012–18, memory peaks/troughs preceded SPE peaks by 1–3 months but the peaks/troughs have coincided since



Source: AlphaWise, Company data, Morgan Stanley Research

Exhibit 16: We believe we're mid-upcycle in the memory ASP cycle, which is where SPE returns start rivaling memory...



Source: Morgan Stanley Research

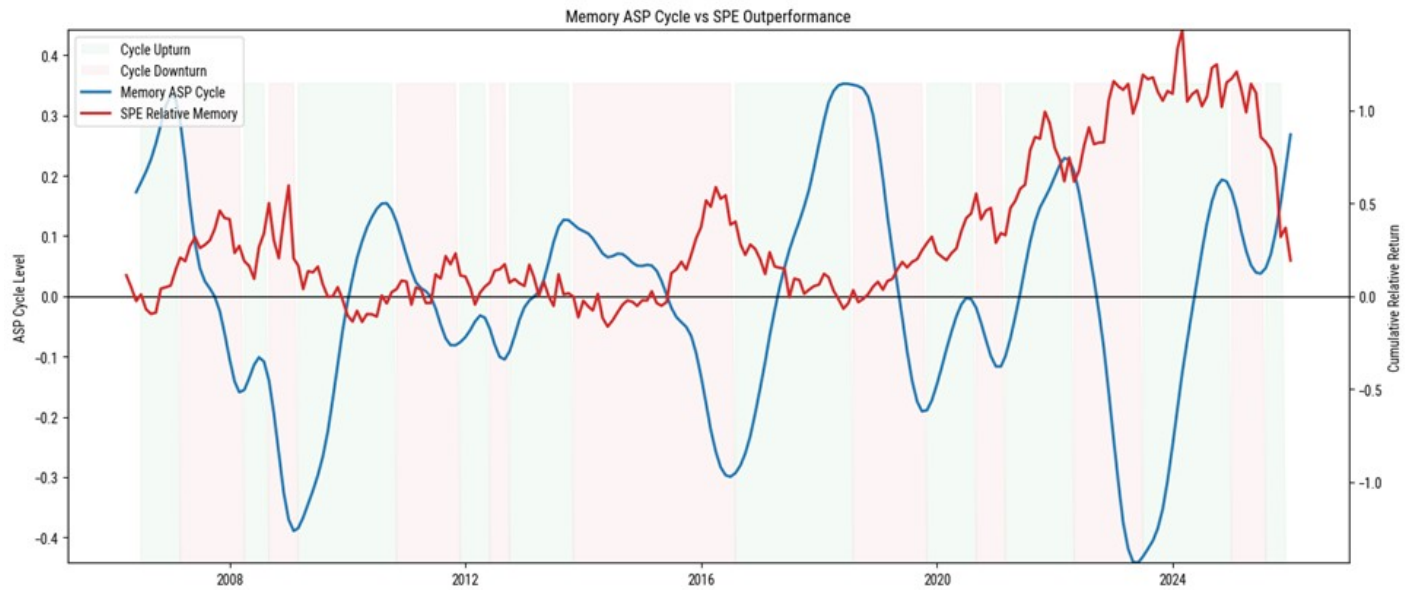
Exhibit 17: ... and once we're late upcycle/early downcycle, preference would be for SPE over memory

Monthly Avg. Return in different Memory ASP Cycle				
Phase	Meaning	SPE	Memory	
Downturn	Cycle < 0, and trending downwards	-0.6%	-3.0%	
Early Recovery	Cycle < 0, but trending upwards	3.7%	5.4%	
Expansion	Cycle > 0, and trending upwards	2.4%	3.5%	
Peak Rollover	Cycle > 0, but trending downwards	1.0%	0.7%	

Source: AlphaWise, Company data, Morgan Stanley Research

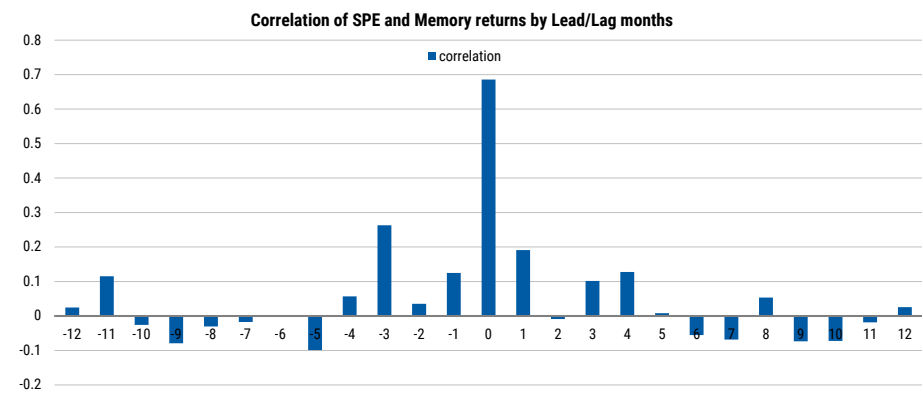
Exhibit 18:

SPE significantly outperformed memory during 2020-24 but relative returns have all but been whipped out over the last 6 months



Source: AlphaWise, Company data, Morgan Stanley Research

Exhibit 19: Monthly return correlations are highest concurrently, with no statistically meaningful lead from either side



Source: AlphaWise, Company data, Morgan Stanley Research

Memory Wafer Starts

The Debate: When do DRAM & NAND wafer starts begin picking up?

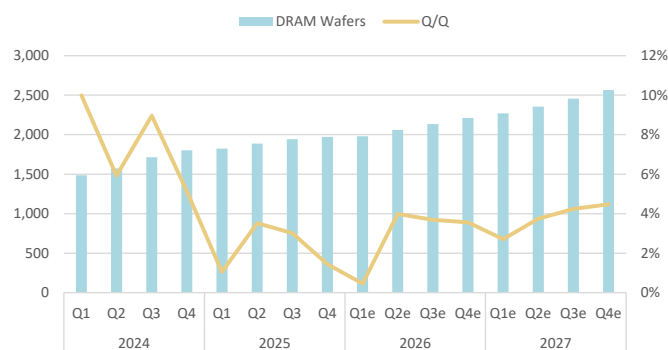
Our View: DRAM and NAND wafer starts will both reaccelerate from the JunQ but while DRAM will maintain a steady 3-4% q/q increase through 2027, NAND will be see a 2-3% increase.

Clean room constraints limit the bull case, not the base case. We revise up our 2026/2027 DRAM greenfield additions from 225/305kwpm to 278/355kwpm and our NAND greenfield additions from 78/87kwpm to 105/125kwpm. Our DRAM revisions are across all players while our NAND revisions are primarily for YMTC with a slight upward revision for Kioxia.

DRAM – where there is a will, there is a way. Our 2026 revisions are led by Samsung, where tool shipments are being pulled forward to utilize existing cleanroom capacity, and by CXMT, where we see accelerating capacity build-outs in 2H26. Our SK Hynix greenfield assumptions are largely unchanged, as our forecasts were already aggressive (2026: 115kwpm; 2027: 100kwpm). For Micron, we forecast an additional 20kwpm of wafer starts in 2026, constrained by cleanroom availability, and model 75kwpm in 2027, driven by Boise and PSMC ramp-ups.

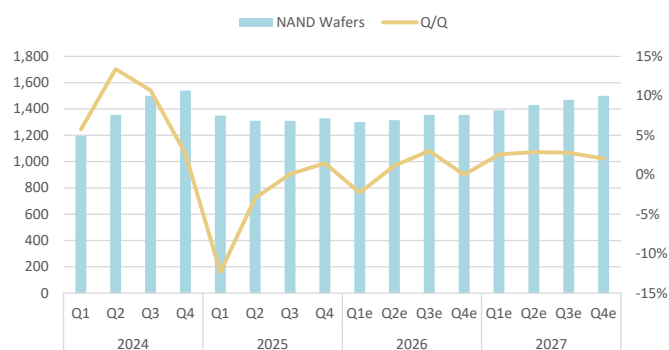
NAND – the "when" is very soon. We are raising our YMTC greenfield assumptions for 2026/27 from 40/40kwpm to 50/70kwpm, and our Kioxia/SanDisk assumptions from 13/22kwpm to 30/30kwpm. Chinese Android OEMs are among the end-customer cohorts most affected by memory shortages, and we expect YMTC to accelerate capacity build-outs to address this demand. In the case of Kioxia/SanDisk, the company is the only non-Chinese memory manufacturer with meaningful cleanroom space readily available and not allocated to DRAM. We believe recent customer prepayments are intended to fund capacity expansion and expect Kioxia to increase F3/27 capex by ~50% y/y to ¥400–450bn, with a significant skew toward equipment (~90%).

Exhibit 20: We model 3-4% q/q wafer start growth for DRAM through 2027...



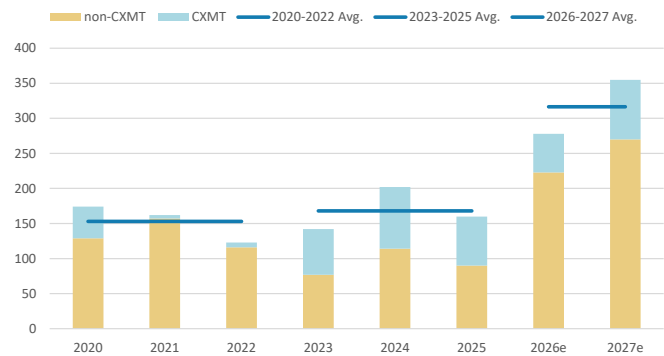
Source: TrendForce, Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates

Exhibit 21: ... while for NAND we model 2-3% q/q increase



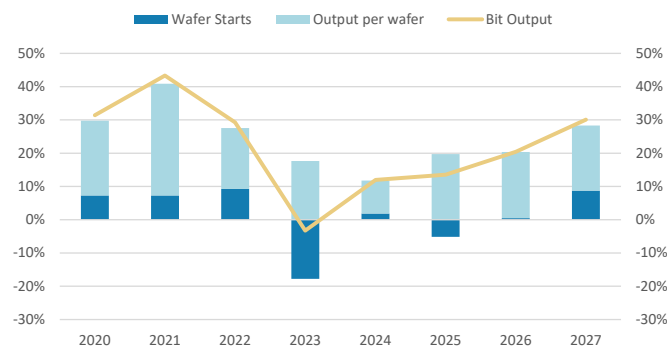
Source: TrendForce, Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates

Exhibit 22: We model avg. DRAM greenfield adds to increase 88% from 2023-25 to 2026-27...



Source: TrendForce, Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates

Exhibit 23: ... and for greenfield to contribute towards NAND bit output from 2027



Source: TrendForce, Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates

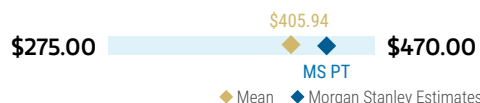
Risk Reward – Applied Materials Inc. (AMAT.O) Top Pick

DRAM/Leading Logic upside & China/ICAPS derisked

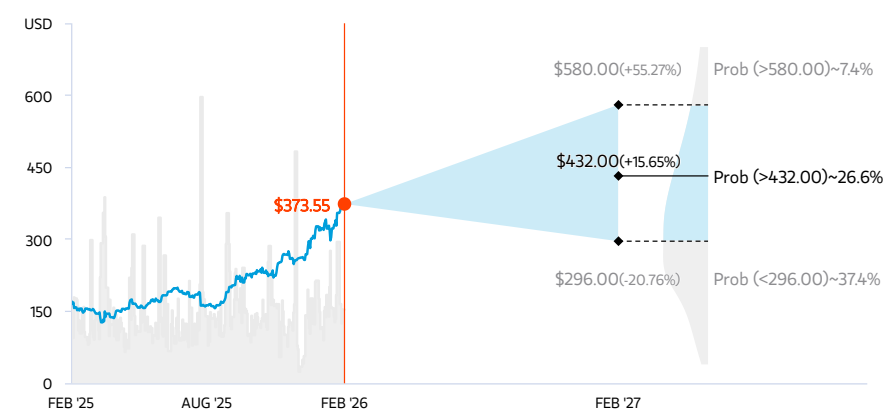
PRICE TARGET **\$432.00**

~28x CY27e EPS of \$15.43, a 3-turn discount to LAM and 5-turns to KLA to reflect growth prospects in DRAM but concerns around market share loss in China.

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 23 Feb 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

BULL CASE

\$580.00

~33x CY27 EPS of \$17.57

DRAM & ICAPS remain strong and AMAT's margin expansion accelerates.

- Revenue grows 34.1% in CY27 as AMAT outperforms WFE
- Gross margin expands to 50.7% in CY27
- Multiples expand to 33x PE, as equipment is perceived as a growth sector within semis

BASE CASE

\$432.00

~28x CY27 EPS of \$15.43

AMAT grows in-line with WFE with DRAM growth slightly offset by China/ICAPS

- Revenue growth of 21.9% in CY27
- Non-GAAP gross margin slightly increases to 50.2% in CY27
- Multiple at a premium to AMAT's historical average

BEAR CASE

\$296.00

~22x CY27 EPS of \$13.46

DRAM WFE remains weak in 2026 and leading edge logic sees headwinds from foundries scaling back their aspirations.

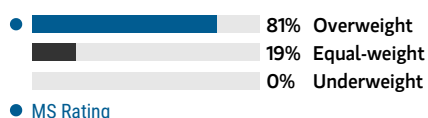
- Revenue increases 12.1% in CY27 as WFE recovery is subdued.
- Gross margin slightly increases to 49.5% in CY27
- Multiple contracts to a 22x PE, 1 standard deviation premium to historical levels

OVERWEIGHT THESIS

■ AMAT has the highest DRAM mix in their portfolio (CY26 31% vs LAM 20%, KLA 28%) and is most levered to greenfield wafer additions. AMAT has traded at a material valuation discount vs LAM & KLA given execution and concerns around market share loss in China, but we think the risk reward is skewed to the upside.

■ We think China & ICAPS are derisked. Barring a further tightening of China export restrictions, we think the steepest y/y decline is behind us and the outlook is derisked.

Consensus Rating Distribution



Risk Reward Themes

New Data Era: *Positive*

View descriptions of Risk Rewards Themes [here](#)

Risk Reward – Applied Materials Inc. (AMAT.O)

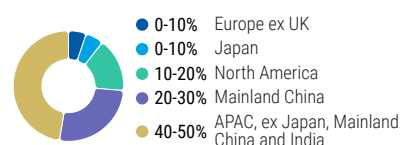
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
GAAP Revenue (\$, mm)	28,368	31,451	39,156	43,680
MW Gross Margin (%)	48.8	49.5	50.2	50.3
Non-GAAP EPS (\$)	9.42	11.13	14.64	16.90
Inventory (\$, mm)	5,915	7,287	8,691	9,270
DOI	146.2	164.9	160.1	153.4

INVESTMENT DRIVERS

- DRAM WFE outpaces overall WFE growth
- AMAT capitalizes on logic growth opportunities (GAA, back-side power)

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Market share gains as DRAM outpaces WFE
- AMAT captures market share in logic architecture inflections (backside power)

RISKS TO DOWNSIDE

- Widespread restrictions on equipment shipments and services to China
- AMAT loses market share with key customers (Samsung, TSMC)

OWNERSHIP POSITIONING

Inst. Owners, % Active	50%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	26.4%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Oct 2026e

Sales / Revenue	28,470	31,451	33,246
(\$, mm)		31,278	

EBITDA	8,730	10,092	10,927
(\$, mm)		10,009	

Net income	7,346	8,863	9,209
(\$, mm)		8,748	

EPS	9.27	11.11	11.51
(\$)		10.99	

◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – KLA Corp (KLAC.O)

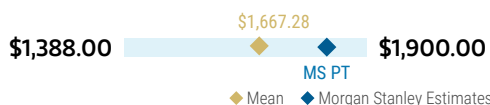
OW on structural and idiosyncratic drivers

PRICE TARGET \$1,809.00

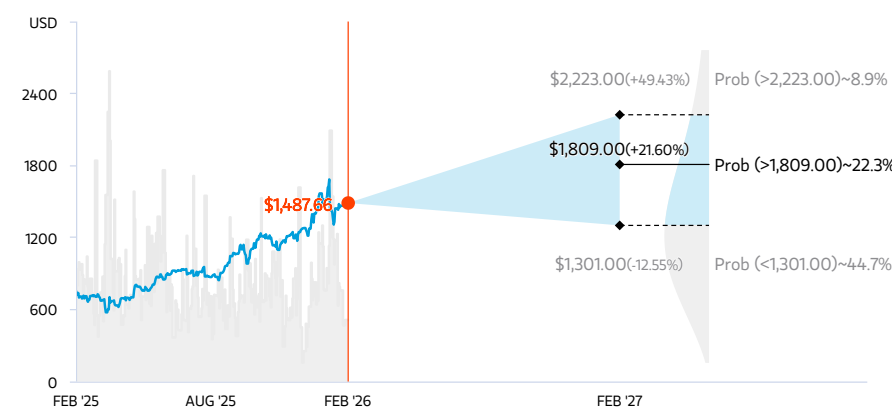
33x CY27e EPS of \$54.82, a 15% premium to US SPE peers LAM & AMAT to reflect growth prospects in foundry logic and DRAM.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



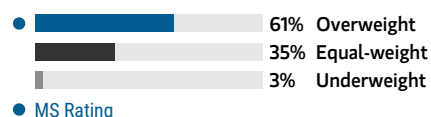
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 23 Feb 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

■ KLA's fundamental story has gone from strength to strength: 1) Process control intensity: to structurally increase going forward due to larger die sizes and increased design starts, both causes of lower yield. 2) Share increase: KLA should continue to gain market share in process control given the company is first to inflections and has the fundamental technology to enable that. ■ We believe a premium multiple to SPE peers is justified given KLA's growth prospects (outperformance vs WFE) as well as its superior gross margin.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*
Pricing Power: *Positive*
Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$2,223.00

35x CY27e EPS of \$61.76

KLA gains more market share than expected on the back of leading edge logic spending accelerating and process control intensity in DRAM increasing greater than expected.

- In this scenario we assume a considerable premium to US SPE peers (AMAT/LAM) as KLA's growth prospects are more appreciated.

- Revenue grows 35.7% in CY27 as KLAC sees outsized growth due to increased market share.

- GM expands to 63.2% and EPS grows to \$61.76 in 2027.

BASE CASE

\$1,809.00

33x CY27e EPS of \$54.82

KLA grows ahead of WFE in 2026-2027 due to increased process control intensity in leading edge logic and DRAM.

- In this scenario we assume a premium to US SPE peers (AMAT/LAM) that is slightly higher than historic due to KLA's growth prospects.

- Revenue grows 23% in CY27 and KLA slightly increases market share.

- GM expands to 62.4% and EPS grows to \$54.82 in 2027

BEAR CASE

\$1,301.00

26x CY27e EPS of \$50.05

KLA's market share contracts due to leading edge logic and DRAM investment slowing down. KLA faces increasing competition in mask inspection, pressuring valuation multiple.

- In this scenario we assume multiple in-line with US SPE peers (AMAT/LAM)

- Revenue growth of 14.1% in CY27 as leading edge logic growth is limited.

- GM declines to 61.4% and EPS slightly increases to \$50.05 in 2027

Risk Reward – KLA Corp (KLAC.O)

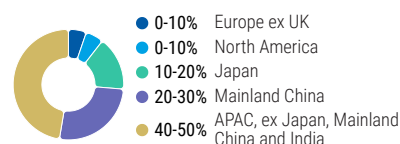
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
GAAP Revenue (\$, mm)	12,156	13,413	16,729	19,301
MW Gross Margin (%)	62.3	62.2	62.4	62.4
MW EPS (\$)	33.29	36.65	49.12	58.26
Inventory (\$, mm)	3,212	3,613	4,496	4,888
DOI	246.7	252.6	254.7	241.2

INVESTMENT DRIVERS

- WFE market growth, specifically in leading edge logic where KLA has outsized exposure.
- Process control intensity and KLA's market share within process control.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon
---------------------	---------------------	---------------------	--------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Foundries (TSMC, Intel, Samsung) pull forward their logic roadmaps
- Design starts in leading edge nodes increase
- Process control intensity increases in DRAM due to HBM

RISKS TO DOWNSIDE

- Certain foundries (Intel, Samsung) scale back their aspirations
- Market share loss in mask inspection to Lasertec or in e-beam to AMAT or ASML
- China restrictions

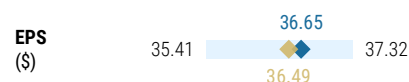
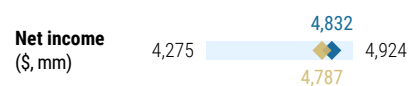
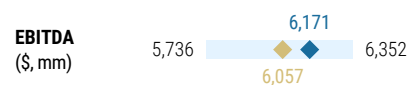
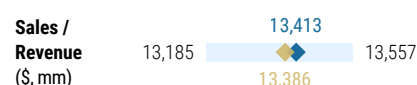
OWNERSHIP POSITIONING

Inst. Owners, % Active	52.5%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	26.4%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jun 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

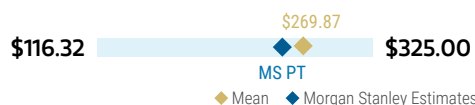
Risk Reward – Lam Research Corp (LRCX.O)

WFE outperformance intact with NAND & Logic

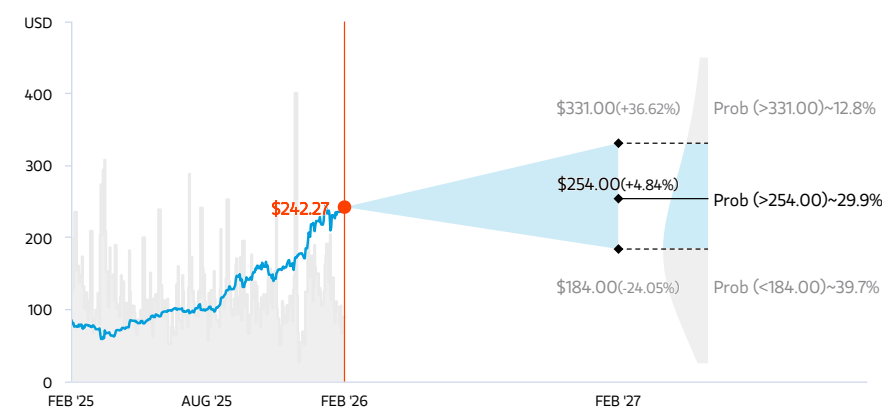
PRICE TARGET \$254.00

31x CY27 non-GAAP EPS of \$8.20, multiple reflects a 2-turns discount to KLA to reflect gross margin differences (KLA 60%+ vs LAM 50%) and market dynamics (KLA near oligopoly).

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

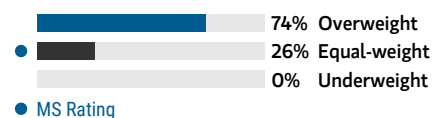


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 23 Feb 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

- After shipments underperformed WFE by 33ppt in 2023 due to a cyclical decline in NAND and China entity list impact, LAM outperformed WFE by 8ppt in 2024 and we estimate another 27ppt outperformance in 2025 driven by NAND, China, and TSMC. We model LAM's 2026 system shipments to outperform WFE for the 3rd consecutive year as NAND and non-China foundry logic continues to strengthen.
- LAM has unique drivers supporting the long-term growth story as the company is seeing gross margin expansion from shifting manufacturing to Malaysia, is positioned well to gain share with the 4F2 transition in DRAM, and has unique advanced packaging growth drivers.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*
Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$331.00

~35x CY27 non-GAAP EPS \$9.46

DRAM and NAND pricing and utilization improve further than expected, and LAM sees record revenue in CY27. The company sees revenue growth exceed WFE on the back of market share gains in leading edge nodes.

- Revenue growth of 37.8% in CY27 as LAM benefits from NAND WFE growth and market share gains

- GM expands to 51.6% and EPS to \$9.46 in CY27

BASE CASE

\$254.00

~31x CY27 non-GAAP EPS of \$8.20

We expect LAM to outperform in 2026-27 on the back of NAND and foundry logic strength.

- Revenue growth of 24.2% in CY27 driven by NAND and foundry logic

- CY27 GM of 50.6% as regional mix deterioration is offset by top-line growth

- EPS of \$8.20 in CY27

BEAR CASE

\$184.00

~25x CY27 non-GAAP EPS of \$7.36

Memory markets turn weaker and LAM loses share to competitors.

- Revenue growth of 14.8% in CY26 as memory recovery more muted than expected

- GM declines to 49.8% and EPS comes in at \$7.36 in CY27

Risk Reward – Lam Research Corp (LRCX.O)

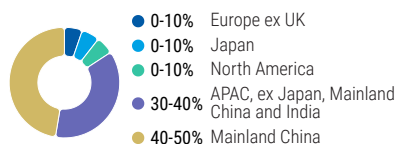
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
GAAP Revenue (\$, mm)	18,436	22,644	28,515	33,835
MW Gross Margin (%)	48.8	49.8	50.2	50.8
Non-GAAP EPS (\$)	4.13	5.38	7.19	8.98
Inventory (\$, mm)	4,308	5,149	6,240	6,721
DOI	164.0	163.0	158.2	145.2

INVESTMENT DRIVERS

- NAND WFE market trends (LAM has outsized share)
- Market share gains from new logic architectures (GAA, backside power)

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Market share gains in new logic architectures (GAA, backside power)
- NAND capex recovers to new highs
- Continued share gains in China

RISKS TO DOWNSIDE

- NAND WFE weaker than expected
- Widespread export restrictions to China
- Market share loss to competitors in etch

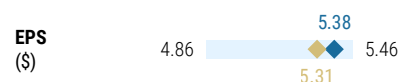
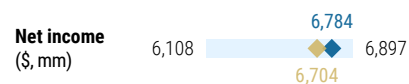
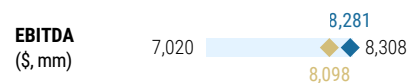
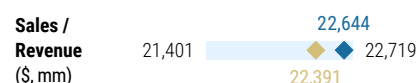
OWNERSHIP POSITIONING

Inst. Owners, % Active	49.5%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	26.4%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jun 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared by Morgan Stanley & Co. LLC, and/or Morgan Stanley C.T.V.M. S.A., and/or Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., and/or Morgan Stanley Canada Limited. As used in this disclosure section, "Morgan Stanley" includes Morgan Stanley & Co. LLC, Morgan Stanley C.T.V.M. S.A., Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., Morgan Stanley Canada Limited and their affiliates as necessary.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Shane Brett; Nicole Kozhukhov; Joseph Moore; Ella Tulchinsky; Mason Wayne; Wen Zhang, CFA.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflict/policies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

As of January 30, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: Advantest, Applied Materials Inc., Ebara, KLA Corp, KOKUSAI ELECTRIC, Lam Research Corp, Lasertec, MKS Inc., Nikon, SCREEN Holdings, Teradyne Inc, Tokyo Electron, Ulvac, Ushio.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Camtek, MKS Inc., Nova Ltd, Tekscend Photomask.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Camtek, MKS Inc., Nikon, Nova Ltd, Tekscend Photomask.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Advantest, Applied Materials Inc., Camtek, DISCO, Ebara, JEOL, KLA Corp, KOKUSAI ELECTRIC, Lam Research Corp, Lasertec, MKS Inc., Nikon, Nova Ltd, SCREEN Holdings, Tekscend Photomask, Teradyne Inc, Tokyo Electron, Ulvac, Ushio.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from Applied Materials Inc., MKS Inc., Tokyo Electron.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Advantest, Applied Materials Inc., Camtek, Ebara, JEOL, KLA Corp, KOKUSAI ELECTRIC, Lam Research Corp, Lasertec, MKS Inc., Nikon, Nova Ltd, SCREEN Holdings, Tekscend Photomask, Teradyne Inc, Tokyo Electron, Ushio.

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: Applied Materials Inc., MKS Inc., Tokyo Electron.

Morgan Stanley & Co. LLC makes a market in the securities of MKS Inc..

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of January 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1520	41%	425	48%	28%	685	42%
Equal-weight/Hold	1579	43%	375	42%	24%	713	44%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	592	16%	89	10%	15%	232	14%
Total	3,695		890			1631	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

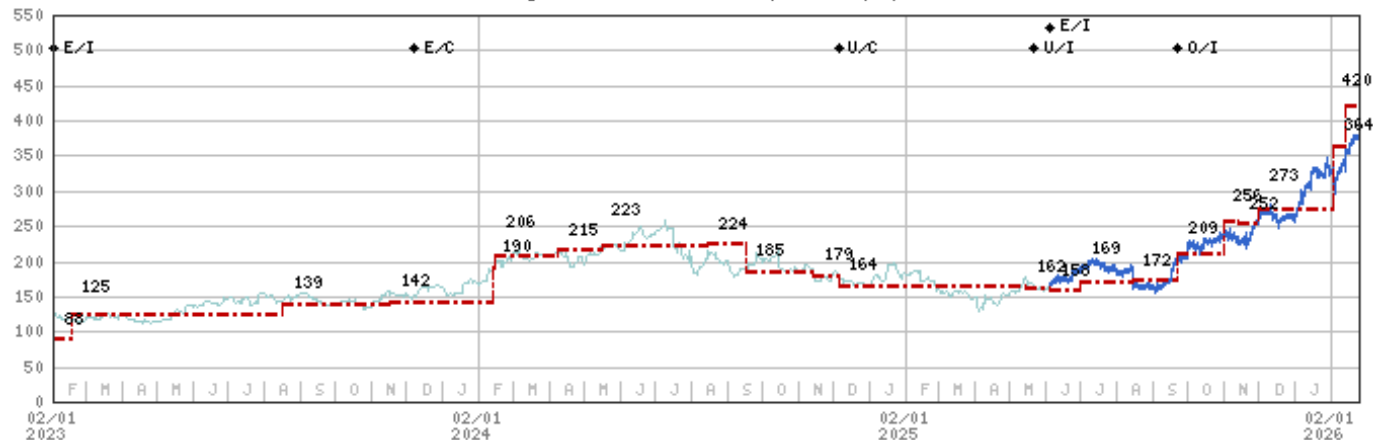
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Applied Materials Inc. (AMAT.O) - As of 02/24/26 GMT in USD
Industry : Semiconductor Capital Equipment



Stock Rating History: 2/1/21 : E/I; 12/7/23 : E/C; 12/5/24 : U/C; 5/22/25 : U/I; 6/5/25 : E/I; 9/22/25 : O/I

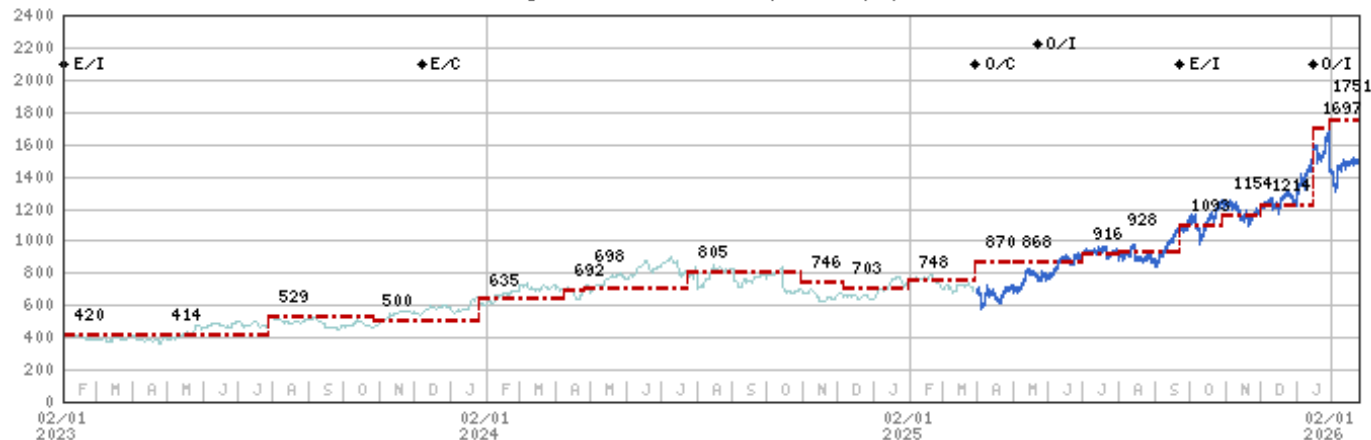
Price Target History: 12/14/20 : 95; 2/16/21 : 104; 2/19/21 : 113; 5/17/21 : 137; 5/21/21 : 139; 8/20/21 : 150; 12/14/21 : 160; 5/19/22 : 133; 7/24/22 : 115; 9/6/22 : 109; 10/13/22 : 99; 10/17/22 : 89; 11/18/22 : 88; 2/16/23 : 125; 6/17/23 : 139; 11/16/23 : 142; 2/12/24 : 190; 2/15/24 : 206; 4/8/24 : 215; 5/16/24 : 223; 8/15/24 : 224; 9/16/24 : 185; 11/14/24 : 179; 12/5/24 : 164; 5/15/25 : 162; 6/5/25 : 158; 7/1/25 : 169; 8/14/25 : 172; 9/22/25 : 209; 10/31/25 : 256; 11/13/25 : 252; 12/1/25 : 273; 2/2/26 : 364; 2/12/26 : 420

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

KLA Corp (KLAC.O) - As of 02/24/26 GMT in USD
Industry : Semiconductor Capital Equipment



Stock Rating History: 2/1/21 : E/I; 12/7/23 : E/C; 3/30/25 : O/C; 5/22/25 : O/I; 9/22/25 : E/I; 1/15/26 : O/I

Price Target History: 12/14/20 : 263; 2/4/21 : 286; 4/26/21 : 349; 4/30/21 : 364; 7/30/21 : 389; 10/28/21 : 399; 12/14/21 : 431; 1/28/22 : 400; 4/25/22 : 375; 4/29/22 : 373; 7/24/22 : 377; 7/28/22 : 381; 9/6/22 : 358; 10/17/22 : 289; 10/27/22 : 318; 1/27/23 : 420; 4/26/23 : 414; 7/28/23 : 529; 10/26/23 : 500; 1/26/24 : 635; 4/8/24 : 692; 4/26/24 : 698; 7/24/24 : 805; 10/30/24 : 746; 12/5/24 : 703; 1/31/25 : 748; 3/30/25 : 870; 5/1/25 : 868; 7/1/25 : 916; 7/31/25 : 928; 9/22/25 : 1093; 10/29/25 : 1154; 12/1/25 : 1214; 1/15/26 : 1697; 1/29/26 : 1751

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

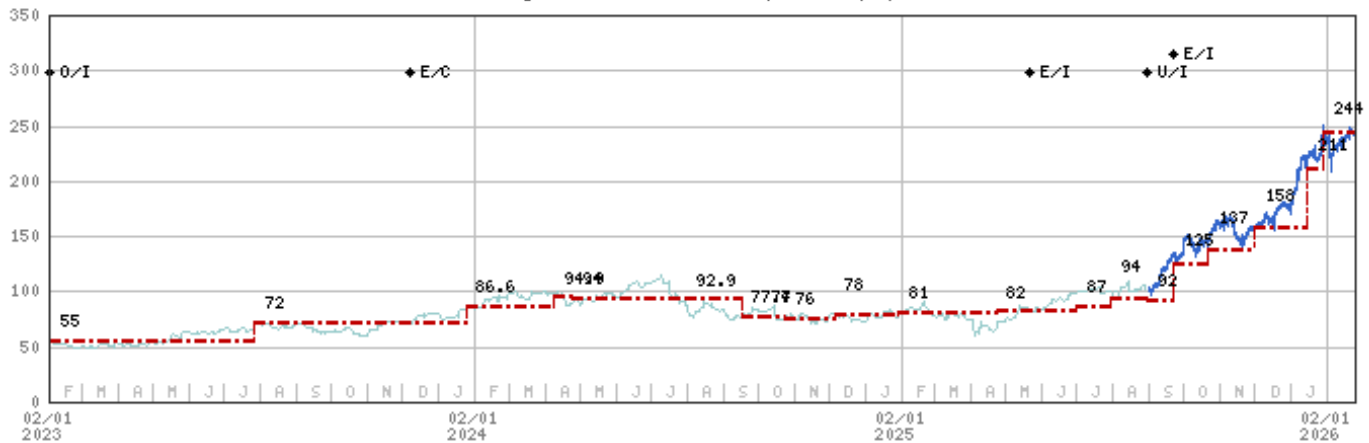
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Lam Research Corp (LRCX.O) - As of 02/24/26 GMT in USD
Industry : Semiconductor Capital Equipment



Stock Rating History: 2/1/21 : O/I; 12/7/23 : E/C; 5/22/25 : E/I; 8/31/25 : U/I; 9/22/25 : E/I

Price Target History: 1/28/21 : 56.8; 4/22/21 : 72.6; 10/21/21 : 71; 12/14/21 : 75.5; 1/26/22 : 73; 4/20/22 : 62.5; 7/24/22 : 55; 9/6/22 : 54.3; 10/17/22 : 42.9; 10/19/22 : 40.4; 1/26/23 : 55; 7/26/23 : 72; 1/24/24 : 86.6; 4/8/24 : 94.9; 4/24/24 : 94; 7/31/24 : 92.9; 9/16/24 : 77.4; 10/3/24 : 77; 10/23/24 : 76; 12/5/24 : 78; 1/29/25 : 81; 4/23/25 : 82; 7/1/25 : 87; 7/30/25 : 94; 8/31/25 : 92; 9/22/25 : 125; 10/22/25 : 137; 12/1/25 : 158; 1/15/26 : 211; 1/28/26 : 244

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research.

Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V. which is regulated by Comisión Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 14-9169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products. Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

INDUSTRY COVERAGE: Semiconductor Capital Equipment

COMPANY (TICKER)	RATING (AS OF)	PRICE* (02/23/2026)
Shane Brett		
Applied Materials Inc. (AMAT.O)	O (09/22/2025)	\$373.55
Camtek (CAMT.O)	E (12/01/2025)	\$153.11
KLA Corp (KLAC.O)	O (01/15/2026)	\$1,487.66
Lam Research Corp (LRCX.O)	E (09/22/2025)	\$242.27
MKS Inc. (MKS.I.O)	O (08/04/2024)	\$253.71
Nova Ltd (NVMI.O)	E (12/01/2025)	\$442.53
Teradyne Inc (TER.O)	E (07/30/2025)	\$318.50

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

INDUSTRY COVERAGE: Semiconductor Production Equipment

COMPANY (TICKER)	RATING (AS OF)	PRICE* (02/24/2026)
Suzune Tamura, CFA		
JEOL (6951.T)	E (07/08/2025)	¥6,611
Tekscend Photomask (429A.T)	E (11/18/2025)	¥2,943
Tetsuya Wadaki		
Advantest (6857.T)	O (01/17/2024)	¥26,620
DISCO (6146.T)	O (07/07/2023)	¥75,620
Ebara (6361.T)	O (12/04/2024)	¥5,680
KOKUSAI ELECTRIC (6525.T)	O (12/19/2025)	¥6,373
Lasertec (6920.T)	U (07/28/2025)	¥31,920
Nikon (7731.T)	U (08/08/2023)	¥1,975
SCREEN Holdings (7735.T)	O (11/13/2025)	¥21,725
Tokyo Electron (8035.T)	O (12/19/2025)	¥44,380
Ulvac (6728.T)	E (01/17/2024)	¥10,595
Ushio (6925.T)	O (01/05/2026)	¥3,136

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

© 2026 Morgan Stanley